

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DFCS

Date: 5/15/2026

Bill Number: HB36

Short Title (as it appears on BASIS): Foster Children Psychiatric Treatment

What action do you recommend the Governor take?

Select one.

☒ SIGN ☐ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

The Alaska Supreme Court determined that children in foster care who are admitted to a hospital for acute psychiatric care must have a review hearing promptly following their admission. This bill formally establishes the requirements set forth by the Alaska Supreme Court, ensuring that judicial oversight is provided for these vulnerable children.

In addition, the United States Department of Justice released a report highlighting the necessity for Alaska to expand community-based services for children. One approach to achieving this objective is through the creation of treatment foster homes. To support this effort, legislation regarding treatment foster home licensing was approved by the Governor's Legislative Office and incorporated into this bill.

The legislation has received strong, bipartisan backing. The policies outlined in this bill are designed to guarantee that foster children are placed in the least restrictive environments possible. Furthermore, these measures ensure that all children have access to essential services addressing their mental, behavioral, developmental, and medical needs.

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Signing this bill would demonstrate support by the Governor and his administration in ensuring Alaska's children receive the care they need.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

HB 36 would require a judicial hearing within seven days of admission of a foster child to an hospital for short-term psychiatric care. This addresses the Alaska Supreme Court ruling in *Kwinhagak v. State of Alaska* which found that there was a lack of statutory guidance regarding the length of time for a placement review hearing to be held.

HB36 also establishes a new license for a treatment foster home. Alaska is the only state without a defined treatment foster care program and license. Due to the lack of a group home license for children, the foster home license has been used to create community-based healthcare settings for children. However, the requirements for a traditional foster home license do not align with Medicaid requirements. This new placement setting will streamline Medicaid and licensure requirements and ensure that treatment foster homes are equipped to meet the needs of Alaska's children safely and effectively, minimizing risks to children's well-being. By establishing licensure standards and requirements, DFCS can promote consistency and quality across the treatment foster care system. This helps to safeguard the rights and well-being of children and ensures that they receive the support they need to thrive.

This placement setting will be available to all children, not just children in state custody. Thus, filling in gaps in the continuum of care for children and addressing the US Department of Justice's concerns about the lack of community-based services for children.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Sec. 1: Changes specific home type definition with the term "an entity" to simplify the list of license types subject to a criminal history check.

Sec. 2: Adds treatment foster home to the list of placement settings for children to be eligible for Medicaid.

Sec. 3: Amends AS 47.10.087 to remove the word "secure" since by definition residential psychiatric treatment centers are already secure and refers to that definition in AS 47.32.900.

Sec. 4: Adds a new section to AS 47.10 regarding admission of foster children to short-term psychiatric stays in a hospital. It requires that notification be provided to all parties in the Child in Need of Aid case within 24 hours that the child is admitted to the hospital. Further, this section

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requires that a court hold a placement review hearing within seven calendar days after the child is admitted to the hospital. If the court does not find that there is clear and convincing evidence for the child to remain in the hospital, the child shall be released from the hospital to a less restrictive placement setting. This section allows for the hearing to be vacated if the child is released to a less restrictive placement setting before the scheduled hearing or if all parties agree that the admittance to the hospital was reasonable and necessary. If the court determines that a child should remain in a hospital for treatment, the court must review the placement every 30 days or when requested by a party to the Child in Need of Aid case.

Sec.5: Amends AS 47.10.992 and the definition of “foster care” to include care provided in a treatment foster home.

Sec. 6: Amends AS 47.14.010 to include treatment foster home as a placement setting for minors committed to the custody of the department.

Sec. 7: Amends AS 47.14.110(a) to requires inspections of treatment foster homes by representatives of the department and removal of children if the placement is unsafe or the home does not meet licensure requirements.

Sec. 8: Amends AS 47.14.112(d) includes clarifying amendments and requires the department to include the number of children in state custody placed in psychiatric residential treatment facilities out of state in the annual report to the legislature.

Sec. 9: Amends AS 47.14.115 to add a new subsection requiring treatment foster home parents to participate in on-going training in providing trauma-informed care.

Sec. 10: Amends AS 47.14.900 to refer to the definition of treatment foster home.

Sec. 11: Amends AS 47.32.010(c) to add a treatment foster home license under the Department of Family and Community Services.

Sec. 12: Amends AS 47.32.032(b) to allow for variances from the building code requirements for licensure of a treatment foster home.

Sec. 13: Amends AS 47.32.032 to add a subsection ensuring that treatment foster homes meet training requirements.

Sec. 14: Amends AS 47.32.900 to add treatment foster homes to the definition of “child placement agency.”

Sec. 15: Amends AS 47.32.900 to add definitions of “specialized services” and “treatment foster home.”

Sec. 16: Repeals AS 47.10.990(31),

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Sec. 17: Adds uncodified language to amend a court rule to include a mandatory appointment of an attorney for a child who has been placed in a hospital for psychiatric care.

Sec. 18: Adds uncodified language directing the Department of Health to pursue federal approval of state plan amendments.

Sec. 19: Adds uncodified language stating that approval from the US Department of Health and Human Services regarding waivers or amendments to the state plan must be approved by July 1, 2031 in order for Sec. 2 of this bill to take effect.

Sec. 20: Adds uncodified language stating that Sec. 2 of this bill will take effect on the later of July 1, 2028 or the day after the date the US Department of Health and Human Services approves the waiver or amendments to the state plan.

Sec. 21: Provides for an effective date of July 1, 2028 for various sections of the bill.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

None

Support/Opposition of the Bill

Please identify names, organizations, titles, and phone numbers of those who testified in support or in opposition of this bill.

Support:

Corey Goheen, Chair, AK Chapter Family Focused Treatment Association, 907-401-1242

Amanda Metivier, Co-Founder, Facing Foster Care Alaska

Kxlo Stone, Statewide Youth Leadership Board Member, Facing Foster Care Alaska

Barbara Malchik, Legal Committee Chair for Facing Foster Care Alaska

Oppose:

Steven Pearce, Director, and Kathleen Wedemeyer, Deputy Director, Citizens Commission on Human Rights; (206) 755-5230 (Main line), cchrseattle@outlook.com

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Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Corey Goheen, Chair, AK Chapter Family Focused Treatment Association, 907-401-1242,
cgoheen@met-wlm.org

Commissioner's Signature: Thacy A. Dompeling Date: 5/15/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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